

ECO-02: Accountancy-1

Q1. Bank Reconciliation Statement (BRS)

- Definition: A Bank Reconciliation Statement is a statement prepared to reconcile the difference between the bank balance as per the Cash Book (bank column) and the balance as per the Pass Book/Bank Statement on a specific date.
 - Causes of disagreement:
 1. Cheques issued but not yet presented for payment.
 2. Cheques deposited but not yet collected/credited by bank.
 3. Bank charges, interest, fees debited by bank not recorded in Cash Book.
 4. Direct deposits by customers into bank not recorded in Cash Book.
 5. Interest credited by bank not recorded in Cash Book.
 6. Dishonour of cheques/bills not recorded in Cash Book.
 7. Errors/omissions in Cash Book or Pass Book (overcasting/undercasting, wrong postings).
 8. Standing instructions executed by bank (e.g., EMI, insurance) not in Cash Book.
 - Preparing BRS with adjusted Cash Book:
 1. Prepare Adjusted Cash Book:
 - Start with Cash Book bank balance.
 - Record items known only to bank: bank charges, interest, direct deposits, dishonours, standing instructions, etc.
 - Correct Cash Book errors.
 - Arrive at Adjusted Cash Book balance.
 2. Prepare BRS:
 - Take Adjusted Cash Book balance.
 - Add less items: cheques issued but not presented (add to Cash Book balance), cheques deposited but not yet credited (deduct), etc., depending on whether starting with debit or credit balance.
 - Resulting figure should match Pass Book balance.
 - Tip: Clearly state whether you start with “Balance as per Cash Book (Dr)” or “Balance as per Pass Book (Cr)”.
-

Q2. Journal Entries and Treatment in Final Accounts

Give entries and show how they affect Trading/Profit & Loss A/c and Balance Sheet.

1. Outstanding Expenses Rs. 7,000
 - Journal:
 - Expense A/c Dr 7,000 To Outstanding Expenses A/c 7,000 (To record expense due but unpaid)
 - Final Accounts:

- P&L: Add to related expense.
 - Balance Sheet: Shown under Current Liabilities.
2. Interest on Capital Rs. 5,000
- Journal:
 - Interest on Capital A/c Dr 5,000 To Capital A/c 5,000 (Interest allowed on capital)
 - Final Accounts:
 - P&L: Debited as expense (reduces profit).
 - Balance Sheet: Added to Capital.
3. Provision for Bad & Doubtful Debts Rs. 6,000
- Journal (to create provision):
 - P&L A/c Dr 6,000 To Provision for Doubtful Debts A/c 6,000
 - Final Accounts:
 - P&L: Show as expense.
 - Balance Sheet: Deduct from Sundry Debtors as “Less: Provision”.
4. Loss of Goods by Theft Rs. 6,000
- Journal (if uninsured):
 - Loss by Theft A/c Dr 6,000 To Purchases/Trading A/c 6,000
 - If insured and claim admitted say Rs. X:
 - Insurance Claim Receivable A/c Dr X
 - P&L A/c Dr (6,000 – X) To Purchases/Trading A/c 6,000
 - Final Accounts:
 - Trading: Reduce purchases/stock accordingly.
 - P&L: Loss (net of claim) debited.
 - Balance Sheet: Claim receivable as Current Asset (if any).
5. Drawings of Goods by Proprietor Rs. 11,000
- Journal:
 - Drawings A/c Dr 11,000 To Purchases A/c 11,000
 - Final Accounts:
 - Trading: Reduce Purchases by drawings.
 - Balance Sheet: Deduct drawings from Capital.
-

Q3.

1. Consignment vs Sale
- Not the same.
 - Consignment:
 - Goods sent by consignor to consignee to sell on behalf of consignor.

- Ownership remains with consignor until sale to customer.
 - Unsold goods can be returned; consignee earns commission.
 - Risks of goods lie with consignor.
 - Sale:
 - Ownership transfers to buyer immediately.
 - Seller recognizes revenue and buyer bears risk thereafter.
 - No commission relationship.
2. Joint Venture vs Partnership
- Joint Venture:
 - Temporary business arrangement for a specific venture.
 - Ends when venture completes.
 - Separate firm not necessarily formed; separate books optional.
 - Profit sharing as per agreement; co-venturers may record via Memorandum JV or personal accounts.
 - Partnership:
 - Ongoing business relationship.
 - Governed by Partnership Act; separate firm identity (not legal entity in strict sense) with firm name.
 - Capital, drawings, interest on capital, salary, P&L appropriation, etc.
 - Differences:
 - Duration: temporary vs continuous.
 - Accounting: memorandum JV vs full books/firm accounts.
 - Registration/name: not required vs often formalized.
-

Q4. Single Entry System: Drawbacks and Profit Determination

- Drawbacks:
 1. Incomplete records (often only cash and personal accounts).
 2. No trial balance; difficult error detection.
 3. Hard to ascertain true profit and financial position.
 4. Difficult to detect frauds/misappropriations.
 5. Not acceptable to auditors/tax authorities for large concerns.
 6. No systematic depreciation/adjustments.
- Methods to ascertain profit:
 1. Statement of Affairs (Net Worth) Method:
 - Prepare Opening Statement of Affairs (assets – liabilities = capital).
 - Prepare Closing Statement of Affairs.
 - Profit = Closing Capital (adjusted for drawings/additional capital) – Opening Capital.
 - Adjust for drawings, additional capital, interest, etc.
 2. Conversion Method (from Single Entry to Double Entry):
 - Reconstruct missing accounts (Cash Book, Debtors/Creditors control, Bills, Purchases/Sales, etc.).

- Prepare Trading and P&L Account and Balance Sheet in double-entry form.

Q5. Differences

Table: Key Differences

Basis	Receipts & Payments Account	Cash Book
Nature	Summary of cash/bank receipts and payments during a period (non-profit)	Day-to-day detailed record of cash/bank transactions
Period	Records all cash flows of the period irrespective of revenue/capital, including opening/closing balances	Chronological; supports double entry; includes discounts, contra, etc.
Accrual	No accruals, only cash basis	Supports accrual entries via journals adjustments
Purpose	To prepare Income & Expenditure A/c and Balance Sheet of NPOs	Primary book of original entry
Balances	One balance (closing) carried down	Continuous running balances for cash/bank
Basis	Income & Expenditure A/c	Profit & Loss A/c
Entities	Non-profit organizations	Trading/profit entities
Basis	Accrual; revenue items only	Accrual; includes all revenue items
Result	Surplus/Deficit	Net Profit/Loss
Opening/Closing items	No opening/closing capital/profit balances	Connected with capital/reserves; appropriations possible
Donations/Capital items	Capital receipts go to Balance Sheet unless specified	Not applicable similarly; capital profits handled via reserves